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END TERM EXAMINATION, JULY 2022

M.B.A.

FINANCIAL MANAGEMENT

MBA 202

Time : 3:00 Hours

Maximum Marks : 100

- Note:**
1. This paper consists of three parts: **Part-A, Part-B & Part-C** respectively.
 2. **Part-A, Part-B and Part-C** consists of **30 marks, 40 marks and 30 marks** respectively. Student has to attempt **all** questions from **Part-A**, **8** questions from **Part-B** and **3** questions from **Part-C** in Answer Book.

PART-A

1. Answer the following

30

A : Indicate True or False:

5 x 1

- (i) Payback period considered all cash flows of the project.
- (ii) Net income approach has been propounded by David Durand.
- (iii) Operating leverage measures business risk.
- (iv) Walter model is proposed “bird in the hand” argument.
- (v) Corporate restructuring is the process of making changes in the composition of a firms one or more business portfolio in order to have a more profitable enterprise.

B: Fill in the Blanks:

10 x 1

- (i) The initial investment of a project is Rs. 50,000 and profitability index is 1.20, then present value of cash inflow is _____
- (ii) Full form of NPV _____ technique in capital budgeting.
- (iii) Arbitrage process is used under _____ approach of capital structure.
- (iv) _____ is a cheaper source of finance because of tax deductibility of interest.
- (v) Degree of _____ is the ratio of the percentage increase in Earnings Per Share (EPS) to the percentage increase in Earnings Before Interest and Taxes (EBIT).
- (vi) There is no operating leverage if there is no _____ cost.
- (vii) Modigliani-Miller approach states dividend is _____ to the valuation of the firm.
- (viii) _____ working capital means firms total current assets.
- (ix) The purchase of the business of an enterprise by another enterprise is known as _____
- (x) _____ merger refers to two firms operating in same industry or producing ideal products combining together.

C : Write short answer of the following questions :**5 x 2**

- (i) What are business ethics and social responsibility?
- (ii) The risk free rate and the market portfolio return are 6% and 12% respectively. The expected rate of return on security X with a beta is 1.2. Calculate the expected rate of return by CAPM approach.
- (iii) What do you mean by leverage?
- (iv) Meaning of bonus shares with its significance.
- (v) Explain the concept of discounted cash flow approach.

D. Tick the best alternative:**5 x 1**

- (i) Which technique is also known as benefit cost ratio?
 - (a) NPV
 - (b) PI
 - (c) IRR
 - (d) ARR
- (ii) Value of levered firm V_L under MM with corporate taxes is:
 - (a) $V_L = V_U + D(t)$
 - (b) $V_L = V_U$
 - (c) $V_L = V_U - D(t)$
 - (d) None of the above
- (iii) Combined leverage is obtained from operating leverage and financial leverage by their:
 - (a) Addition
 - (b) Subtraction
 - (c) Multiplication
 - (d) Any of these
- (iv) Working capital ratio is:
 - (a) Working capital / Sales
 - (b) Working capital / Total assets
 - (c) Current assets / Current liabilities
 - (d) Current assets / Sales
- (v) Economic value added is based on the
 - (a) Profit
 - (b) Residual wealth
 - (c) Gross wealth
 - (d) None of these

PART-B**Answer any eight questions from the following:****8 x 5**

- 2. What do you mean by time value of money? Why is time value of money an important principle of financial management?
- 3. Distinguish between Net Present Value (NPV) and Internal Rate of Return (IRR).
- 4. The capital structure of ABC ltd. Is:

Source	Book value (₹)	Market value (₹)	Specific cost of capital (%)
Equity share capital	50,00,000	80,00,000	15
Preference share capital	20,00,000	20,00,000	10
Debentures	30,00,000	30,00,000	5 (after tax)

Calculate overall cost of capital using book value weights.

5. What do you mean by financial distress? Explain the costs of financial distress.
6. From the following information calculate combined leverage:

EBIT	₹ 1,00,000
Fixed cost	₹ 2,00,000
EBT	₹ 80,000

7. Define EBIT-EPS analysis. Discuss its importance in financing decisions.
8. Describe the important aspects of working capital policies.
9. What do you mean by dividend? Explain factors determining dividend policy.
10. What is meant by corporate valuation? Describe adjusted book value approach to corporate valuation.
11. Explain the concept on merger. Write the reason for merger and takeovers.

PART-C

Answer any three questions from the following:

3 x 10

12. A company has two projects A and B. The initial outlays of these projects are ₹27,000 and ₹48,000 respectively. The scrap values after 5 years are 1,000 and 3,000 respectively. The cost of capital is 16%. The cash flows are:

Year	Project A	Project B	PVF at 16%
1	-	12,000	.862
2	6,000	16,800	.743
3	26,400	19,200	.641
4	16,800	20,400	.552
5	17,800	21,000	.476

Compute (a) Net Present Value

(b) Profitability Index

13. Explain traditional approach of capital structure. Is there any optimum capital structure according to this approach? Explain.
14. What is the link between capital structure and capital budgeting? Also describe the guidelines for capital structure planning.
15. Briefly describe about Walter's dividend model. Also explain its assumption and limitations.
16. What do you mean by mergers and acquisitions? Distinguish between mergers and acquisitions with relevant examples.